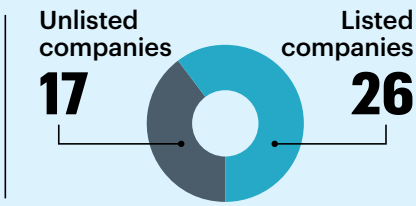
SHAPOORJI PALLONJI GROUP **18.4%**

TATA COMPANIES **12.9%**

• Tata Motors	3.1%
• Tata Steel	3.1%
• Tata Chemicals	2.5%
• Tata Power	1.7%
• Indian Hotels Company Ltd	1.1%
• Tata Industries	0.6%
• Tata Consumer Products	0.4%
• Tata International	0.36%
• Tata Investment	0.01%

Total number of shares held by these companies **52,013**

Total value of the shares
₹1.2–1.8 lakh cr.



Sources: Tata Sons Annual Report FY26, CMIE

are the Sir Dorabji Tata Trust, with a 27.98 per cent stake, and the Sir Ratan Tata Trust, with 23.56 per cent. "Once Tata Sons becomes listed, these rights should be reviewed against minority shareholder protection, board independence, related-party safeguards and applicable listing requirements," says Shriram Subramanian, founder and managing director of proxy advisory firm InGovern.

UNLOCKING VALUE

The Shapoorji Pallonji (SP) Group, yet another large shareholder, owns 18.4 per cent of Tata Sons, while nine Tata companies, including Tata Motors and Tata Steel, together hold 12.87 per cent. These nine companies have their own reason to favour the listing. Their investments in Tata Sons have remained locked up for almost three decades, making them what some analysts consider dead capital. Tata Steel, Tata Motors, Tata Chemicals, Tata Power, Indian Hotels Company Ltd, Tata Consumer Products and Tata Investment were among the companies that bought into Tata Sons through a 1995-96 rights issue. Questions were raised then about why listed companies should put capital into an unlisted, illiquid parent. Ratan Tata, then chairman, had argued that the investments would be rewarded once Tata Sons became a public company. That promised listing has been delayed ever since.

As of March 31, Tata Sons had 404,146 paid-up equity shares. The nine listed companies collectively owned 52,013 shares. Assuming a Tata Sons valuation of between Rs 9 lakh crore and Rs 14 lakh crore, as estimated by market observers, those holdings would be worth between Rs 1.2 lakh crore and Rs 1.8 lakh crore.

Subramanian sees capital access as an important benefit. "A public listing would give Tata Sons capital flexibility to raise debt and equity when it needs funds for its capital-intensive unlisted businesses," he says. "It would also provide liquidity to the SP Group and the seven listed companies that hold shares in Tata Sons." For Tata Sons, a listing would bring greater transparency and price discovery, he adds, while benefiting the 17.7 million shareholders of Tata Group companies that hold shares in Tata Sons.

THE GOVERNANCE TEST

The move would also subject the Tata Trusts' special rights to greater scrutiny, says Subramanian, bringing them in line with the governance requirements applicable to listed companies, and potentially reduce reported differences among trustees and restrictions affecting the functioning of the trusts.

According to Ranina, the company would need to strengthen its board and appoint new independent directors, so that two-thirds of the audit committee comprises independent directors. Related-party transactions would also come under closer scrutiny. If Tata Sons were to extend a loan to Air India or closely held companies such as Tata Electronics or Tata Digital, for instance, the transaction would require audit committee approval.

A COLLISION COURSE AT BOMBAY HOUSE COULD TRIGGER A BITTER LEGAL BATTLE OVER TATA SONS' LEADERSHIP AND LISTING, TESTING THE GROUP'S RECORD ON GOVERNANCE AND ACCOUNTABILITY WHILE DENTING INVESTOR CONFIDENCE

Matters at Bombay House, the Tata Group's headquarters, are on a collision course. With Chandrasekaran having agreed to continue as chairman and the Tata Sons board favouring a public listing, the Noel-led Tata Trusts is likely to seek legal recourse. That could be acrimonious, and perhaps even more bitter than the legal battle that followed Cyrus Mistry's ouster as Tata Sons chairman in 2016. Such a battle would cast a long shadow over a group that prides itself on good governance and accountability, and could even affect investor confidence in the long run. ■